

2.2. WHAT ARE HEDGE FUNDS?

HFs have the following features:

Limited Number of (Rich) Investors

HFs must comply with Section 3(c)(1) or 3(c)(7) of the 40-Act to be exempt from regulation by the rest of the Act. That is, HFs are *not* registered investment companies. Their investors have to be rich.¹⁵

The 40-Act defines rich people in two ways. First, under Section 3(c)(1), HFs are limited to 100 *accredited investors*. Accredited investors have individual or joint net worth of more than \$1 million. If you don't have \$1 million, then you can be counted as an accredited investor if your individual income exceeds \$200,000 or your joint income exceeds \$300,000 in each of the past two years. Financial institutions like banks, insurance companies, mutual funds, pension funds, trusts, and so on are accredited investors if their assets exceed \$5 million.

Second, under Section 3(c)(7), HFs are limited to *qualified purchasers*. The 40-Act doesn't limit the number of qualified purchasers, but in practice HFs have no more than 499 qualified purchasers to avoid registration under the Securities Exchange Act of 1934. The bar to be a qualified purchaser is higher than an accredited investor. Qualified purchasers must have at least \$5 million in investments. Qualified institutional investors own and invest at least \$100 million, or they are pension funds and trusts with at least \$25 million in assets.

In the United States, HFs are usually structured as limited partnerships. The *general partner* is responsible for day-to-day management of the fund. The *limited partner* is the asset owner, liable only for the sum she invests.

Minimums Are High

Because they have only a limited number of investors, HFs require high minimum investments, typically \$1 million or more. *Funds-of-funds*, which are funds that invest in HFs, generally have lower minimums. A few HF firms have introduced investment company registrations, like mutual funds, where minimums may be as low as \$10,000 or less, but these vehicles fall under the 40-Act.

Often Levered and Use Derivatives

This is a key feature of many HFs. Jones's first HF took short positions—unusual for funds at the time. He used the term “hedged” to describe how the fund eliminated broad market exposure. Today, HFs employ a wide range of investment strategies and, as we shall see, generate risk factor exposures not usually available in other investment vehicles.

¹⁵ Prior to the Jumpstart Our Business Startups Act of 2011, HFs were banned from soliciting or advertising; they were restricted to *private offerings*. This changed under the act. At the time of writing in 2013, the SEC is still to issue final rules. Even though HFs can advertise, HF investors must be accredited investors or qualified purchases.